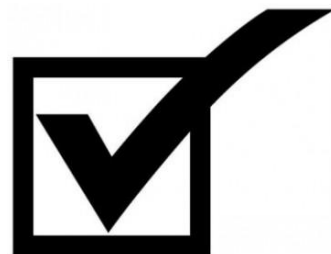


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



College Accounting

(105)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (10 @ 2 points each) _____ (20 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (36 points)

Problem 1 – Journal Entries _____ (57 points)

Problem 2 – Bonds _____ (81 points)

Problem 3 - Depreciation _____ (48 Points)

TOTAL POINTS _____ ***(242 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

1.	D	6.	C
2.	A	7.	A
3.	D	8.	D
4.	A	9.	D
5.	C	10.	C

Short Answer (36 Points) 3 Points Each

1.

Total Stockholders' Equity	\$661,000
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2.

Total Cost of Borrowing	\$7,600
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3.

Treasury Stock Balance	\$1,523,600
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4.

What is Cash Flows from Operating Activities using the indirect method?	\$84,800
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5. Identify whether each of the following list of items is an operating activity cash flow (O), an investing activity cash flow (I), a financing activity cash flow (F), or none of these (None).

- A. I Proceeds from sale of equipment
- B. O Cash collected from customers
- C. O Payments to suppliers
- D. F Stock repurchases
- E. F Repayment of bond principal
- F. O Payment of income tax
- G. N Purchases of equipment financed with a note
- H. F Payment of cash dividends

Problem 1: Journal Entries (57 Points)

Grader: 2 Points each account, 1 point each amount; no points for date. Account titles may vary slightly

General Journal			
Date	Account	Debit	Credit
Jan. 1	Cash	1,125,000	
	Common Stock		225,000
	Additional Paid-In Capital – Common		900,000
Feb. 1	Cash	375,000	
	Preferred Stock		125,000
	Additional Paid-In Capital - Preferred		250,000
June 1	Treasury Stock	180,000	
	Cash		180,000
Aug. 1	Cash	26,000	
	Treasury Stock		24,000
	Additional Paid-In Capital – Treasury		2,000
Oct. 1	Cash	34,500	
	Additional Paid-In Capital – Treasury	1,500	
	Treasury Stock		36,000
Dec. 1	Dividends – Preferred	10,000	
	Dividends – Common	90,000	
	Dividends Payable		100,000
Dec. 31	Dividends Payable	100,000	
	Cash		100,000

Problem 2: Bonds (81 points)

Grader: Each cell of the table is worth 3 points. In journal entries, each account title is worth 2 points and each amount is worth 1 point.

Period Ended	Cash Paid	Amortized Discount/ Premium	Interest Expense	Bonds Payable	Discount/ Premium on Bonds Payable	Carrying Value
01/01/25				560,000	25,200	585,200
12/31/25	44,800	8,400	36,400	560,000	16,800	576,800
12/31/26	44,800	8,400	36,400	560,000	8,400	568,400
12/31/27	604,800	8,400	36,400	0	0	0

Prepare the appropriate entries below:

General Journal			
Date	Account	Debit	Credit
1/1/25	Cash	585,200	
	Bonds Payable		560,000
	Premium on Bonds Payable		25,200
12/31/25	Interest Expense	36,400	
	Premium on Bonds Payable	8,400	
	Cash		44,800

Problem 3: Depreciation (48 Points)

Grader: Each answer is worth 4 points

Straight-line	Depreciation Expense	Book Value
2024	35,000	165,000
2025	35,000	130,000
Units of Production		
2024	42,000	158,000
2025	52,500	105,500
Double-declining Balance		
2024	80,000	120,000
2025	48,000	72,000